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Weekly Gold Wrap

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I. Gold Price Recap

For the week ending the New York session of September 11, COMEX gold futures fell 0.39% to settle at USD 4,390.00/oz, with a weekly loss of 1.93%. COMEX silver futures rose 0.14% to USD 65.02/oz, posting a weekly decline of 2.59%. Following the prior-week sell-off, precious metals traded within a range. Gold dipped early in the week and found support near USD 4,300/oz. Though it staged a technical rebound mid-week, gains were capped by persistently higher U.S. Treasury yields. The August CPI print triggered limited market reaction, leaving gold to close moderately lower amid broad weekly volatility.

Gold drifted lower early in the week on Middle-East geopolitical risks and mounting Fed-hike expectations driven by inflation data. A mid-week rebound was repeatedly stifled by rising Treasury yields. Friday's muted CPI release allowed gold to hold onto its recovery near the USD 4,400/oz level.

-Monday: Renewed Middle-East hostilities fostered cautious risk sentiment and pressured gold lower at the open. Over the weekend, U.S. forces struck three Iran-linked tankers; Iran retaliated by targeting three U.S.-affiliated vessels plus three tankers transiting the Strait of Hormuz. Higher crude prices stoked inflation fears. Combined with strong U.S. employment data from the prior week, market pricing for a September Fed rate hike weighed further on gold.

-Tuesday: Inflation concerns persisted and gold extended losses, dropping more than 1% on the day. Traders continued to price in odds of a September hike. Elevated Treasury yields kept gold under pressure.

-Wednesday: Gold staged a corrective bounce and recouped most of its weekly losses, though climbing yields capped upside during the New York session. The U.S. Treasury had previously announced a programme to repurchase up to USD 6 billion of 10-20-year Treasury securities, yet 10-year yields still surged to their highest level since November 2023.

-Thursday: U.S. August PPI came in at 5.4% YoY, above consensus expectations. WTI crude topped USD 100/bbl and Fed-hike bets intensified. The 10-year Treasury yield neared 5% and the U.S. dollar strengthened, pulling gold below USD 4,400/oz. Deutsche Bank noted the strong PPI components reinforced market expectations for a Fed rate increase.

-Friday: Crude prices pulled back, offering renewed upward momentum for gold ahead of the weekend. U.S. August headline CPI held at 3.4% YoY, in line with expectations, while core CPI softened to 2.4% YoY from July's 2.5%. The CPI report generated no major market moves and gold consolidated near USD 4,400/oz.

II. Key Drivers Behind Gold's Volatility

1) U.S. Economic Indicators Drive Sharp Correction in Gold

(1) Major U.S. economic indicators released this week and their impact on gold prices

- **August Producer Price Index (PPI)**

August PPI rose 5.4% YoY (consensus: 5.3%) and 0.4% MoM. The July reading was revised higher to 0.1% MoM. Surging upstream energy costs drove producer-side inflation, while PCE-relevant components printed firm readings. This pointed to inflation pass-through along supply chains and reinforced market worries over Fed policy tightening.

- **August Consumer Price Index (CPI)**

August headline CPI printed 3.4% YoY, matching expectations. Core CPI fell to 2.4% YoY from 2.5% in July, yet core CPI MoM hit 0.3%, exceeding the 0.2% consensus. This reflected sticky core inflation. Inflation has shown no meaningful cooling and continues to keep the Fed's inflation concerns alive.

(2) Impact on Gold:

The above-consensus Thursday PPI lifted rate-hike expectations, sending the U.S. dollar and Treasury yields higher and pressuring gold lower. Friday's in-line CPI did not deliver major negative shocks; gold stabilized and posted a mild recovery. Mixed inflation prints drove sharp volatility in gold, whose price action remained heavily subject to shifting Fed policy expectations.

2) Monetary Policy & Gold Market Impact

(1) Fed Developments & Official Views

- **Fed updates and Jackson Hole Symposium**

- Chair Warsh's hawkish speech at the Jackson Hole Symposium continued to shape market pricing. He stressed inflation has not shown confirmed sustained cooling, current financial conditions are not sufficiently restrictive, rate cuts should be avoided until material inflation progress emerges, and additional rate hikes remain on the table. The speech's after-effects lingered through the week.

- The FOMC pre-meeting blackout period was in force this week. Fed officials were barred from making public remarks on monetary policy, forcing markets to reprice policy expectations purely based on economic releases.

(2) Market Watch Data

- **Prime Market Terminal Data:**

CME FedWatch Tool: Odds of a 25 bp September hike stayed above 60% early in the week amid lingering Jackson-Hole hawkishness. Probabilities climbed toward 70% following the hot PPI print. After the CPI release, hike odds stabilized at elevated levels.

(3) Impact on Gold Prices

Lingering hawkish sentiment from Jackson Hole weighed on gold early in the week. The strong PPI lifted tightening expectations, pushing the dollar and yields higher and pressuring gold further lower. The mixed CPI report triggered no extreme market reaction and gold recovered modestly. With no fresh official commentary, price action was fully driven by inflation prints and gold traded with wide volatility.

3) Yields, USD & Gold Dynamics

(1) Dollar Index Behavior

At the New York close on September 11, DXY settled at 99.09. The index traded choppily early in the week, surged to a weekly high of 99.36 on Thursday after the strong PPI boosted Fed-tightening pricing, then retraced moderately on Friday following the CPI release. The U.S. dollar exerted intermittent downward pressure on gold across the week.

(2) **US Treasury Yields & Gold Dynamics**

.U.S. Treasury repurchase programme: The Treasury announced it would repurchase up to USD 6 billion of 10-20-year Treasury notes, intended to improve liquidity and ease upward pressure on long-end yields. However, inflation fears dominated market sentiment and offset the programme's intended boost. The 10-year yield still hit its highest mark since November 2023, and rising real yields weighed on gold valuations.

The 10-year Treasury yield closed at 4.95% on September 11 New York time. It consolidated early-week levels, spiked to a weekly high post-PPI on Thursday, then retreated modestly after Friday's CPI. Swinging real yields magnified volatility across precious metals.

(3) Impact on Gold

Wide swings in the U.S. dollar and real yields created alternating headwinds and tailwinds for gold. Early-week hawkish expectations plus geopolitical risks supported yields and pushed gold lower. Thursday's strong PPI drove the dollar and yields higher and pressured gold further down. On Friday, negative catalysts faded after CPI; the dollar and yields eased, enabling a mild gold recovery. Middle-East tensions offered intermittent safe-haven support yet could not override macro-driven moves. Gold trended lower overall with a modest late-week bounce.

4) Geopolitical Tensions & Safe-Haven Demand

(1) Geopolitical Tensions

1) **U.S.-Iran geopolitical conflicts in the Middle East**

U.S.-Iran military hostilities entered a relative lull with no major new airstrikes this week. Isolated ship harassment incidents persisted in the Persian Gulf and Strait of Hormuz, though oil tankers kept transiting and no full strait closure took place. A key Saudi east-west oil pipeline suffered an attack and temporary shutdown, stoking worries over energy supply and lifting inflation expectations.

Conflict remains contained and full-scale war is not baseline. Geopolitics carries dual implications for gold: escalation sparks safe-haven buying, yet higher energy prices fuel inflation and Fed-hike fears which in turn pressure gold. Safe-haven flows can reverse quickly should tensions de-escalate.

2) Progress of the Russia-Ukraine Conflict

Static trench-style fighting persisted. Both sides kept deploying drones and long-range missiles against civilian-critical infrastructure with no material front-line breakthroughs. Reports emerged of a Russia-U.S. leadership conversation exploring potential negotiation paths, though talks remain preliminary and highly uncertain. Markets are increasingly desensitised to Ukraine-related headlines.

(2) Impact on Gold

The attack on Saudi pipelines briefly boosted safe-haven demand and offered near-term support for gold. Still, higher energy prices fed into inflation and rate-hike fears, creating offsetting negative pressure. Geopolitics only triggered intraday noise rather than sustained bullish momentum. Gold remained primarily driven by U.S. inflation data and real yields.

5) Tariff Turmoil Drives Gold Swings

① **Tariff & Trade Policy Developments**

- **Global tariffs and WTO**-related disputes: No broad-based new global tariffs took effect this week. The U.S. Commerce Department issued final anti-dumping and countervailing-duty rulings on solar panel imports from India, Indonesia and Laos, limited to the solar sector. The European Union floated proposals to impose import quotas (with tariffs on excess volumes) for PET resin, epoxy

resin and fiberglass; these remain at proposal stage and are not yet implemented. Routine anti-dumping investigations continue, generating no material supply-chain shocks or large market reactions.

- **U.S.-China tariff developments:** Existing Section 301 tariffs stay in force. U.S. and Chinese trade teams continued negotiations over a reciprocal tariff-easing framework covering roughly USD 300 billion worth of goods on each side. The U.S. plans to release its product list around September 24; no tariff adjustments have been formalised. Separately, the U.S. Commerce Department revoked anti-dumping and countervailing-duty orders on lawn-mower imports in a sunset-review procedural outcome. This single-product change has limited market impact and leaves the broader U.S.-China trade-barrier framework unchanged. Markets are watching but pricing no strong directional signal.
- **U.S.-Canada trade frictions:** CAD 200 billion worth of Canadian retaliatory tariffs took effect September 8, covering steel, dairy goods and machinery. The U.S. concurrently announced adjustments to its tariff list against Canada to take effect September 15 and flagged potential new restrictions on select Canadian dairy, alcohol and motor-vehicle imports. Neither side announced further tariff escalations nor formal negotiations this week; tensions have entered a post-implementation watch-and-wait phase. Markets had already priced in these retaliatory measures, so their effective date produced no fresh catalysts.

② **Impact on Gold Prices**

The newly-effective Canadian retaliatory tariffs, U.S. solar-panel duties and the EU's draft chemical-sector quotas are all sector-specific events, triggering only fleeting sentiment-driven moves without major surprises. Longer-term trade fragmentation continues to underpin gold, yet its near-term influence is muted. Near-term price direction is dominated by U.S. inflation prints, Fed policy expectations and Treasury yields.

6) Gold Market Observation

1. World Gold Council — Key Takeaways from August 2026 Gold-ETF Report

(1) August Gold-ETF Performance

- **Record-scale inflows:** Global gold-listed ETFs attracted USD 18 billion in August, the second-largest monthly inflow on a U.S.-dollar basis. Higher gold prices plus robust inflows lifted total AUM by 16% MoM to USD 615.3 billion. Holdings rose 121.2 tonnes to an all-time high of 4,189.2 tonnes.
- **Year-to-date:** Cumulative inflows total USD 28.526 billion; holdings are up 159.8 tonnes.
- **Three key drivers:**

- Yen-intervention actions and fears of broader currency-policy interventions;
- Rising long-term U.S. yields plus Treasury market operations raising concerns over U.S. fiscal sustainability and U.S.-dollar credibility;
- Gold breaking key technical levels, drawing tactical and institutional buying driven by price momentum.

(2) Regional Flows and Holdings

- **North America:** USD 7.704 billion inflow in August, the third-largest monthly inflow on record for the region. Buying accelerated mid-month, with roughly USD 4 billion added in five trading sessions. August's strong inflows offset March's large outflows and brought year-to-date flows into positive territory. Holdings: 2,088.2 tonnes.
- **Europe:** USD 7.875 billion inflow in August, a new all-time monthly high for the region. Heightened sovereign-debt-sustainability fears and elevated borrowing costs boosted gold's appeal as a

portfolio diversifier alternative to government bonds. The United Kingdom (USD 4.4 billion) and France (USD 1.492 billion) contributed the bulk of flows. Holdings: 1,500.5 tonnes.

- **Asia:** USD 2.045 billion inflow in August, the strongest month since February. Mainland China led regional inflows amid rebounding local gold prices, falling domestic bond yields and range-bound equities. Modest inflows were also seen in India and Japan. Holdings: 525.7 tonnes.
- **Other regions:** USD 234 million inflow, mainly from Australia.

(3) Sharp Recovery in Global Market Liquidity

- Global average daily gold-market turnover rose 21% MoM to USD 430 billion.

- OTC average daily volume: USD 226 billion (+10% MoM); LBMA spot turnover averaged USD 199 billion per day.

- Exchange-traded segments: COMEX derivatives volume +28% MoM; Shanghai Futures Exchange volume +48% MoM.

- Gold-ETF average daily turnover surged 83% MoM to USD 8.7 billion; North-American-listed ETFs accounted for over 73% of total ETF trading activity.

By tonnage: Average daily traded volume reached 3,021 tonnes, up 11% MoM.

(4) COMEX Futures Positioning

- COMEX aggregate net-long futures positions rose 39% (+212 tonnes) month-on-month to 753 tonnes.
- Managed-money net longs increased 96 tonnes to 470 tonnes, surpassing the prior 2026 peak of 443 tonnes. Other reportable traders (largely CTAs) added 115 tonnes to reach 283 tonnes.
- Gold-option net open interest eased moderately from its late-July peak yet remained well above early-2026 levels.

(5) Notable Individual Funds

- SPDR Gold Shares (U.S.) recorded August inflows of USD 5.033 billion, the largest among global gold ETFs, followed by the U.K.'s iShares Physical Gold ETC.

Huaan Yifu Gold ETF was the top-flowing product in Asia. Canadian gold ETFs saw notable outflows.

III. Outlook & Key Catalysts

- **Next Week's Focus:**

Mon Sep 15: U.S. September New York Fed Manufacturing Index

Tue Sep 16: U.S. August Retail Sales; September NAHB Housing Market Index; Redbook Weekly Retail Sales

Wed Sep 17: FOMC rate decision, updated SEP economic projections and dot-plot; Chair Warsh press conference; U.S. August Industrial Output; EIA Weekly Crude-Oil Inventories

Thu Sep 18: U.S. Weekly Initial Jobless Claims; August Building Permits; September Philadelphia Fed Manufacturing Index

Fri Sep 19: U.S. September University of Michigan Consumer Sentiment Final

Key Market Focus: The week brings the critical September FOMC meeting. August inflation data are already public. Markets will focus on the rate decision, dot-plot and press conference to assess the odds of a rate hike and the future rate path. Retail-sales and jobless-claims data will offer cross-checks on U.S. economic resilience and labour-market conditions, moving the U.S. dollar and Treasury yields. Middle-East tensions remain a tail risk; oil-price swings may shift inflation-hike expectations.

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